Quarterly Investment Report: Third Quarter 2026

Key figures

Net assets at 30 September 2026	**$4,812.6 m**
Return for the quarter	**2.9%**
Return for one year	**8.4%**
Funding ratio	**96.1%**
Active members	**18,240**

Summary

The Fund returned 2.9% in the third quarter, ahead of its policy benchmark by 0.4 percentage points. Gains came mainly from global equities and infrastructure, while government bonds were broadly flat.

The funding ratio improved from 94.3% to 96.1% over the quarter.

1. Investment performance

Table 1. Returns by asset class, net of fees

Asset class	Fund			Benchmark		
	3 months	1 year	3 years p.a.	3 months	1 year	3 years p.a.
Global equities	4.1%	13.2%	9.8%	3.8%	12.6%	9.5%
Fixed income	0.3%	3.1%	(0.6%)	0.2%	2.9%	(0.9%)
Real estate	1.2%	2.4%	3.7%	1.5%	2.0%	3.1%
Infrastructure	3.6%	9.0%	7.2%	2.5%	7.4%	6.8%
Cash	1.1%	4.6%	3.5%	1.1%	4.5%	3.4%
Total Fund	**2.9%**	**8.4%**	**5.9%**	**2.5%**	**7.8%**	**5.4%**

Returns for periods longer than one year are annualised, and negative values are shown in parentheses.

2. Asset allocation

Table 2. Asset allocation at 30 September 2026

Asset class	Market value ($ m)	Actual weight	Target weight	Range
Growth assets				
Global equities	2,165.7	45.0%	45.0%	40–50%
Infrastructure	433.1	9.0%	10.0%	5–15%
Defensive assets				
Fixed income	1,251.3	26.0%	27.0%	22–32%
Real estate	721.9	15.0%	15.0%	10–20%
Cash	240.6	5.0%	3.0%	0–8%
Total	**4,812.6**	**100.0%**	**100.0%**	—

3. Statement of changes in net assets

Item	Q3 2026 ($ m)	Q3 2025 ($ m)
Net assets at start of quarter	4,689.2	4,301.7
Contributions received	61.4	58.9
Benefits paid	(73.8)	(69.5)
Investment income and gains	139.6	92.3
Investment management fees	(3.1)	(2.9)
Administrative expenses	(0.7)	(0.6)
Net assets at end of quarter	**4,812.6**	**4,379.9**

4. Outlook

The Investment Committee expects returns to moderate in the final quarter as interest rate cuts are already reflected in asset prices. No change to the strategic asset allocation is proposed before the triennial review in 2027.

Actions agreed by the Committee

- Reduce the cash overweight towards the 3% target by the end of the year.
- Complete the search for a second infrastructure manager.
- Report on climate-related risks in the annual report for 2026.

5. Glossary

Term	Meaning
Benchmark	The policy portfolio against which the Fund's performance is measured.
Funding ratio	Net assets divided by the actuarial value of accrued benefits.
Annualised return	The average yearly return over a period longer than one year.